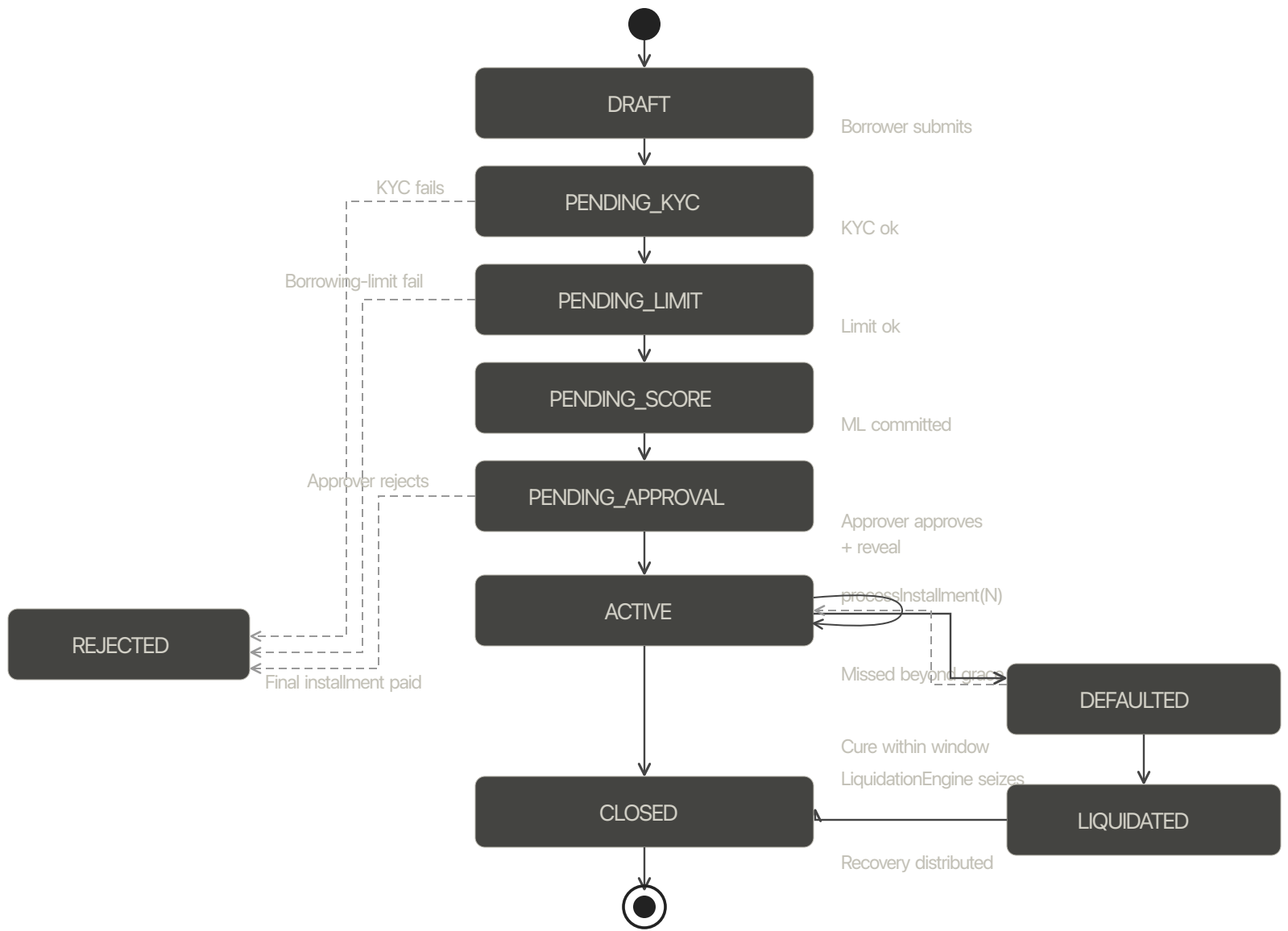


Transaction State Machine (Loan Lifecycle)



Legend

-  Initial state
-  State
-  Successful transition
-  Failure / alternate transition
-  Final state

Design principles

- All state transitions are guarded by CEI-ordered contract functions.
- Every transition emits an indexed event for auditability.

Figure 4.6: DRAFT → PENDING_KYC → PENDING_LIMIT → PENDING_SCORE → PENDING_APPROVAL → ACTIVE → {CLOSED, DEFAULTED → {LIQUIDATED, cured-back-to-ACTIVE}}, with every transition guarded by a CEI-ordered contract function and every transition emitting an indexed event.